Company Accounts - Practice Questions

3 solved questions from each unit, built to cover most adjustments

Units 1 to 4 | Every question has step-by-step working and journal entries | All amounts in Rs.

What each question covers

Question	Main topic	Adjustments and points covered
Unit 1 Q1	Shares	Pro-rata allotment, premium on application and allotment, excess money, calls in arrear, forfeiture, re-issue at discount, capital reserve, Balance Sheet presentation
Unit 1 Q2	Debentures	Issue at discount with oversubscription, redemption premium, loss on issue, interest with TDS, writing off, DRR and DRRI, redemption, collateral security
Unit 1 Q3	Preference shares	Sale of investment, minimum fresh issue (funds method), premium on redemption, CRR, new Balance Sheet
Unit 2 Q1	Final accounts	Closing stock, outstanding and prepaid expenses, depreciation, bad debts and provision, accrued interest, tax, Schedule III statements
Unit 2 Q2	Managerial remuneration	Net profit under Sec 198 (add back and deduct), maximum limits, excess remuneration, commission on profit after commission
Unit 2 Q3	Disposal of profit	Calls in arrear and paid-up capital, interim and final dividend, preference dividend, reserve transfer, unpaid dividend
Unit 3 Q1	Amalgamation	Intrinsic value, swap ratio, cash per share, PC, old company steps, new company entries, mutual owings, unrealised profit, statutory reserve, merger vs purchase
Unit 3 Q2	Internal reconstruction	Capital reduction (face value and paid-up), revaluation, surrender, unrecorded liability, expenses, capital reserve, new Balance Sheet
Unit 3 Q3	Liquidation	Book and realisable values, secured shortfall, order of payment, commission, preference and equity shareholders
Unit 4 Q1	Consolidated Balance Sheet	Capital and revenue profit, revaluation, pre-acquisition dividend, cost of control, mutual owings, unrealised profit (both ways), preference shares of S
Unit 4 Q2	Statement of Affairs	Secured shortfall, preferential, floating charge, unsecured, surplus, Deficiency / Surplus Account
Unit 4 Q3	Receiver's account	Floating charge, preferential first, remuneration on two bases, interest before principal

How to use this paper

- Try each question yourself first, then compare your answer with the solution.
- Each solution is split into small steps, so you can follow one step at a time.
- Every question ends with an "Important Points" box with the key things to remember.

Unit 1 - Question 1: Issue, forfeiture and re-issue of shares

Q1. X Ltd issued 1,00,000 equity shares of Rs. 10 each at a premium of Rs. 2. Payable: application Rs. 4 (including premium Rs. 1); allotment Rs. 5 (including premium Rs. 1); first and final call Rs. 3. Applications were received for 1,20,000 shares and allotment was made pro rata, the excess application money being adjusted against allotment. Mr A applied for 1,200 shares, paid the application money only and failed to pay the allotment and call money. His shares were forfeited after the call. Of the forfeited shares, 600 were re-issued as fully paid at Rs. 8 per share. All other shareholders paid in full. Required: (a) shares allotted to Mr A; (b) journal entries for the issue; (c) forfeiture entry; (d) re-issue entries; (e) share capital in the Balance Sheet.

This question covers

- Pro-rata allotment, premium on application and allotment, excess application money, calls in arrear, forfeiture with unpaid premium, re-issue at a discount, capital reserve and Balance Sheet presentation.

Step 1: Shares allotted to Mr A

Ratio of allotment = $\frac{1,20,000}{1,00,000} = \frac{6}{5}$ **(for every 6 applied, 5 allotted)**

Shares allotted to Mr A = $1,200 \times \frac{5}{6}$ = **1,000 shares**

Step 2: Mr A's account

Working	Rs.
Application money received: 1,200 x 4	4,800
Application money needed for 1,000 shares: 1,000 x 4	(4,000)
Excess adjusted against allotment	800
Allotment due: 1,000 x 5 = 5,000; less excess 800 = unpaid	4,200
First and final call due: 1,000 x 3 = unpaid	3,000
Total unpaid (calls in arrear)	**7,200**

Step 3: Journal entries for the issue (whole company)

Bank A/c	**Dr**	**4,80,000**		**(1,20,000 x 4)**
To Share Application A/c			**4,80,000**	
Share Application A/c	**Dr**	**4,80,000**		
To Share Capital A/c			**3,00,000**	**(1,00,000 x 3)**
To Securities Premium A/c			**1,00,000**	**(1,00,000 x 1)**
To Share Allotment A/c			**80,000**	**(excess adjusted)**
Share Allotment A/c	**Dr**	**5,00,000**		**(1,00,000 x 5)**
To Share Capital A/c			**4,00,000**	
To Securities Premium A/c			**1,00,000**	
Bank A/c	**Dr**	**4,15,800**		
Calls in Arrear A/c	**Dr**	**4,200**		**(Mr A)**
To Share Allotment A/c			**4,20,000**	**(5,00,000 - 80,000)**
Share First and Final Call A/c	**Dr**	**3,00,000**		
To Share Capital A/c			**3,00,000**	
Bank A/c	**Dr**	**2,97,000**		
Calls in Arrear A/c	**Dr**	**3,000**		**(Mr A)**
To Share First and Final Call A/c			**3,00,000**	

Step 4: Forfeiture of Mr A's shares

Working	Rs.
Called-up capital, excluding premium: 1,000 x (3 + 3 + 4)	10,000
Premium received is counted on shares applied for: 1,200 x 1	1,200
Premium due: 1,000 x 2 = 2,000; unpaid premium = 2,000 - 1,200	800
Received, excluding premium: 4,800 - 1,200	3,600
Unpaid (calls in arrear): 4,200 + 3,000	7,200

Share Capital A/c	**Dr**	**10,000**		
Securities Premium A/c	**Dr**	**800**		**(premium not received)**
To Share Forfeiture A/c			**3,600**	
To Calls in Arrear A/c			**7,200**	

Step 5: Re-issue of 600 shares at Rs. 8

Bank A/c	**Dr**	**4,800**		**(600 x 8)**
Share Forfeiture A/c	**Dr**	**1,200**		**(discount 600 x 2)**
To Share Capital A/c			**6,000**	
Share Forfeiture A/c	**Dr**	**960**		**(gain)**
To Capital Reserve A/c			**960**	

$$\text{Gain} = \frac{3,600}{1,000} \times 600 - 1,200 = 960$$

Check: discount Rs. 2 per share is less than the Rs. 3.60 forfeited per share, so it is allowed.

Step 6: Share capital in the Balance Sheet

Notes to accounts	Rs.
Subscribed and fully paid: (1,00,000 - 1,000 + 600) = 99,600 shares x 10	9,96,000
Add: Forfeited shares not re-issued (400 x 3.60 paid)	1,440
Total share capital	**9,97,440**

Check: Share Forfeiture A/c balance = 3,600 - 1,200 - 960 = 1,440.

Important Points
- Find the ratio first (6 : 5), then solve Mr A's case on a small table: money paid, money needed, excess, unpaid.
- In forfeiture, remember: premium already paid is ignored; premium not paid is debited to Securities Premium.

Unit 1 - Question 2: Issue and redemption of debentures

Q2. Y Ltd (an unlisted company) issued 10,000 12% non-convertible debentures of Rs. 100 each at a 5% discount, redeemable after 3 years at a 10% premium. Payable: Rs. 30 on application, Rs. 30 on allotment and the balance on first and final call (the discount is allowed on allotment). Applications were received for 12,000 debentures; 10,000 were allotted and the excess money was adjusted on allotment. All money was received. Required: (a) entries for the issue; (b) entry for the premium on redemption; (c) interest entries for the period 1 July to 31 March (TDS 10%); (d) write-off of discount and loss out of Securities Premium; (e) redemption entries with DRR and DRRI (sold at cost); (f) Y Ltd also took a bank loan of Rs. 5,00,000 against collateral debentures of Rs. 6,00,000: entries and mini Balance Sheet.

This question covers
- Discount, oversubscription, redemption premium, loss on issue, time-based interest, TDS, writing off, DRR (10%), DRRI (15%), redemption and collateral security.

(a) Issue of debentures

Bank A/c	Dr	3,60,000		(12,000 x 30)
To Debenture Application A/c			3,60,000	
Debenture Application A/c	Dr	3,60,000		
To 12% Debentures A/c			3,00,000	(10,000 x 30)
To Debenture Allotment A/c			60,000	(excess adjusted)
Debenture Allotment A/c	Dr	3,00,000		(10,000 x 30)
Discount on Issue of Debentures A/c	Dr	50,000		(10,000 x 5)
To 12% Debentures A/c			3,50,000	
Bank A/c	Dr	2,40,000		(3,00,000 - 60,000)
To Debenture Allotment A/c			2,40,000	
Debenture Final Call A/c	Dr	3,50,000		(10,000 x 35)
To 12% Debentures A/c			3,50,000	
Bank A/c	Dr	3,50,000		
To Debenture Final Call A/c			3,50,000	

Check: debentures credited 3,00,000 + 3,50,000 + 3,50,000 = 10,00,000 (face value). Cash: 30 + 30 + 35 = Rs. 95 each.

(b) Premium on redemption (10% of 10,00,000)

Loss on Issue of Debentures A/c	Dr	1,00,000		
To Premium on Redemption of Debentures A/c			1,00,000	

(c) Interest and TDS

Interest = 10,00,000 × 12% × $\frac{9}{12}$ = **90,000**; TDS = 10% of 90,000 = 9,000; paid in cash = 81,000

Interest on Debentures A/c	Dr	90,000		
To Debentureholders A/c			90,000	
Debentureholders A/c	Dr	90,000		
To TDS Payable A/c			9,000	
To Bank A/c			81,000	
TDS Payable A/c	Dr	9,000		
To Bank A/c			9,000	
Statement of P&L A/c	Dr	90,000		
To Interest on Debentures A/c			90,000	

(d) Writing off discount and loss on issue

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Securities Premium A/c                              Dr   1,50,000          (50,000 + 1,00,000)
      To Discount on Issue of Debentures A/c                      50,000
      To Loss on Issue of Debentures A/c                       1,00,000
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(e) Redemption with DRR and DRRI

Unlisted company with non-convertible debentures needs both. DRR = 10% x 10,00,000 = 1,00,000. DRRI = 15% x 10,00,000 = 1,50,000.

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Statement of P&L A/c                                Dr   1,00,000
      To Debenture Redemption Reserve A/c                      1,00,000
DRRI A/c                                            Dr   1,50,000
      To Bank A/c                                              1,50,000
Bank A/c                                            Dr   1,50,000          (DRRI sold at cost)
      To DRRI A/c                                              1,50,000
12% Debentures A/c                                  Dr  10,00,000
Premium on Redemption of Debentures A/c             Dr   1,00,000
      To Debentureholders A/c                                 11,00,000
Debentureholders A/c                                Dr  11,00,000
      To Bank A/c                                              11,00,000
Debenture Redemption Reserve A/c                    Dr   1,00,000
      To General Reserve A/c                                   1,00,000
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The premium was already provided in (b), so it is not written off again at redemption.

(f) Collateral security (Method II) and mini Balance Sheet

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Bank A/c                                            Dr   5,00,000
      To Bank Loan A/c                                         5,00,000
Debenture Suspense A/c                              Dr   6,00,000
      To 12% Debentures A/c                                    6,00,000
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Mini Balance Sheet	Rs.		Rs.
Bank Loan	5,00,000	Bank	5,00,000
12% Debentures (collateral)	6,00,000		
Less: Debenture Suspense	(6,00,000)		
Total	**5,00,000**	**Total**	**5,00,000**

Important Points

- Always credit Debentures at face value (Rs. 100); show discount and premium as separate side entries.
- Interest and TDS: write four entries in order (due, paid with TDS, TDS deposited, transfer to P&L;).
- Collateral security: only the loan is a real liability, so Debentures and Debenture Suspense cancel each other.

Unit 1 - Question 3: Redemption of preference shares

Q3. The Balance Sheet of Z Ltd: equity share capital 2,00,000; 8% redeemable preference share capital 1,00,000 (1,000 shares of Rs. 100, fully paid); securities premium 20,000; general reserve 50,000; P&L 30,000; creditors 70,000. Assets: fixed assets 3,00,000; investments (cost) 24,000; stock 56,000; debtors 60,000; bank 30,000. The preference shares are redeemed at a 10% premium. For this, investments are sold for Rs. 20,000 and the company issues equity shares of Rs. 10 each at Rs. 12 to raise the funds needed. Premium on redemption is written off out of P&L. Pass entries and prepare the new Balance Sheet.

This question covers

- Sale of investment at a loss, funds required, number of new shares, premium on redemption, CRR and the new Balance Sheet. Keywords "to provide funds" mean the funds method.

Step 1: Funds required and number of shares

Funds required = 1,00,000 + 10,000 - 20,000 - 30,000 = **60,000**

Number of shares = $\frac{60{,}000}{12}$ = **5,000 shares** (5,000 x 10 = 50,000; premium 5,000 x 2 = 10,000)

CRR = 1,00,000 - 50,000 = **50,000** (face value of preference shares less face value of the fresh issue)

Check: reserves needed = CRR 50,000 + premium 10,000 + loss on investment 4,000 = 64,000, which is less than available (general reserve 50,000 + P&L 30,000 = 80,000).

Step 2: Journal entries

Bank A/c	**Dr**	**20,000**		
Statement of P&L A/c	**Dr**	**4,000**		**(loss on sale)**
To Investments A/c			**24,000**	
Bank A/c	**Dr**	**60,000**		
To Equity Share Capital A/c			**50,000**	
To Securities Premium A/c			**10,000**	
8% Redeemable Preference Share Capital A/c	**Dr**	**1,00,000**		
Premium on Redemption of Preference Shares A/c	**Dr**	**10,000**		
To Preference Shareholders A/c			**1,10,000**	
Preference Shareholders A/c	**Dr**	**1,10,000**		
To Bank A/c			**1,10,000**	
Statement of P&L A/c	**Dr**	**10,000**		
To Premium on Redemption of Preference Shares A/c			**10,000**	
General Reserve A/c	**Dr**	**50,000**		
To Capital Redemption Reserve A/c			**50,000**	

Bank check: 30,000 + 20,000 + 60,000 - 1,10,000 = 0.

Step 3: Balance Sheet before and after

Particulars	Before	After
Equity share capital	2,00,000	2,50,000
8% Redeemable preference share capital	1,00,000	-
Securities premium	20,000	30,000
Capital redemption reserve	-	50,000
General reserve	50,000	-
P&L (30,000 - 4,000 - 10,000)	30,000	16,000
Creditors	70,000	70,000
Total	**4,70,000**	**4,16,000**
Fixed assets	3,00,000	3,00,000
Investments	24,000	-
Stock	56,000	56,000
Debtors	60,000	60,000
Bank	30,000	-
Total	**4,70,000**	**4,16,000**

Important Points

- Solve in this order: sell investment, issue shares, redeem, write off premium, create CRR.
- CRR is made using the face value of the new shares only; the premium goes to Securities Premium.

Unit 2 - Question 1: Final accounts with adjustments

Q1. From the Trial Balance of Z Ltd as on 31 March, prepare the Statement of Profit and Loss and the Balance Sheet (Schedule III), after the adjustments below.

Debit	Rs.	Credit	Rs.
Opening stock	80,000	Equity share capital	5,00,000
Purchases	6,00,000	12% Debentures	2,00,000
Wages	50,000	General reserve	60,000
Salaries	90,000	Surplus (P&L, opening)	30,000
Rent	36,000	Sales	9,50,000
Insurance	24,000	Creditors	90,000
Debenture interest paid	12,000	Provision for doubtful debts	5,000
Bad debts	6,000	Interest on investments	8,000
Debtors	1,50,000		
Plant and machinery (at cost)	4,00,000		
Land	2,00,000		
Investments (non-current)	1,00,000		
Cash at bank	95,000		
Total	**18,43,000**	**Total**	**18,43,000**

- **(a)** Closing stock Rs. 1,00,000.
- **(b)** Salaries outstanding Rs. 10,000; insurance prepaid Rs. 4,000.
- **(c)** Depreciation on plant and machinery at 10% on cost.
- **(d)** Further bad debts Rs. 10,000; keep a provision for doubtful debts of 5% on the remaining debtors.
- **(e)** Interest on debentures for the full year is to be provided (12% p.a.).
- **(f)** Provide for tax at 30%.

This question covers

- Closing stock, outstanding and prepaid expenses, depreciation, bad debts, provision, accrued interest, other income, tax, and both Schedule III statements.

Step 1: Workings

Working	Rs.
Depreciation: 10% of 4,00,000	40,000
Debenture interest: 12% of 2,00,000 = 24,000; paid 12,000; outstanding	12,000
Debtors after further bad debts: 1,50,000 - 10,000	1,40,000
New provision: 5% of 1,40,000	7,000
Provision charged: 7,000 - old provision 5,000	2,000
Bad debts: 6,000 + 10,000	16,000
Insurance: 24,000 - 4,000 prepaid	20,000

Step 2: Statement of Profit and Loss

Particulars	Rs.
I. Revenue from operations (sales)	9,50,000
II. Other income (interest on investments)	8,000
III. Total revenue	9,58,000
Purchases of stock-in-trade	6,00,000
Changes in inventories (80,000 - 1,00,000)	(20,000)
Employee benefit expense (wages 50,000 + salaries 90,000 + outstanding 10,000)	1,50,000
Finance costs (12,000 + 12,000)	24,000
Depreciation	40,000
Other expenses: rent 36,000 + insurance 20,000 + bad debts 16,000 + provision 2,000	74,000
IV. Total expenses	8,68,000
V. Profit before tax (III - IV)	**90,000**
VI. Tax at 30%	(27,000)
VII. Profit after tax	**63,000**

Step 3: Balance Sheet as on 31 March

Equity and liabilities	Rs.	Assets	Rs.
Share capital	5,00,000	Land	2,00,000
General reserve	60,000	Plant (4,00,000 - 40,000)	3,60,000
Surplus (30,000 + 63,000)	93,000	Non-current investments	1,00,000
12% Debentures	2,00,000	Inventories	1,00,000
Trade payables	90,000	Trade receivables (1,40,000 - 7,000)	1,33,000
Other current liabilities (salaries 10,000 + interest 12,000)	22,000	Cash at bank	95,000
Short-term provision (tax)	27,000	Other current assets (prepaid insurance)	4,000
Total	**9,92,000**	**Total**	**9,92,000**

Important Points
- Every adjustment is posted twice: once in the Statement of P&L and once in the Balance Sheet.
- Show closing stock only once in the P&L, inside "Changes in inventories".

Unit 2 - Question 2: Managerial remuneration

Q2. M Ltd is a public company with one Managing Director (MD) and other directors. Its profit before tax is Rs. 13,15,000 after charging and crediting the following: MD's remuneration Rs. 2,40,000; compensation for loss of office paid to a director Rs. 50,000; depreciation Rs. 1,80,000 (depreciation allowed under Sec 123 is Rs. 1,50,000); loss on sale of fixed assets Rs. 40,000; profit on sale of investments Rs. 70,000 (credited); profit on revaluation of fixed assets Rs. 30,000 (credited). Required: (a) net profit under Sec 198; (b) maximum remuneration; (c) whether the MD's remuneration is within limits; (d) if the MD is instead entitled to a 5% commission on profit after charging that commission, the commission.

This question covers
- Items to add back and items to deduct under Sec 198, maximum limits (11%, 5%, 1%), excess remuneration and the commission formula.

(a) Net profit under Sec 198

Particulars	Rs.
Profit before tax	13,15,000
Add: MD's remuneration charged	2,40,000
Add: Compensation for loss of office	50,000
Add: Excess depreciation (1,80,000 - 1,50,000)	30,000
Add: Loss on sale of fixed assets (capital loss)	40,000
Less: Profit on sale of investments (capital profit)	(70,000)
Less: Profit on revaluation (capital profit)	(30,000)
Net profit under Sec 198	**15,75,000**

(b) and (c) Maximum limits

Recipient	Limit	Amount
MD (only one)	5% of 15,75,000	78,750
Other directors	1% of 15,75,000	15,750
Overall (all directors together)	11% of 15,75,000	1,73,250

MD was paid Rs. 2,40,000, which is more than Rs. 78,750 by Rs. 1,61,250. It needs a special resolution of shareholders (or Schedule V relief).

(d) Commission on profit after charging that commission

$$\text{Commission} = \text{Net profit before commission} \times \frac{5}{105} = 15{,}75{,}000 \times \frac{5}{105} = \mathbf{75{,}000}$$

Check: profit after commission = 15,75,000 - 75,000 = 15,00,000; 5% of 15,00,000 = 75,000. It is within the 5% limit of Rs. 78,750.

Important Points
- Start from profit before tax: add back items that should not have been charged, and deduct items that should not have been credited.
- Remove capital profits and add back capital losses.

Unit 2 - Question 3: Disposal of profit

Q3. Profit after tax of N Ltd for the year is Rs. 6,00,000 and the opening balance of P&L is Rs. 1,00,000. Capital: 8% preference share capital Rs. 5,00,000 (fully paid); 2,00,000 equity shares of Rs. 10 each called up, with calls in arrear of Rs. 20,000. The company paid an interim dividend of 5% on equity shares during the year, transferred 10% of profit after tax to General Reserve, paid the preference dividend, and proposed a final dividend of 10% on equity shares. After the AGM, Rs. 8,000 of the final dividend was not claimed within 30 days. Required: appropriation account and journal entries.

This question covers
- Dividend on paid-up capital (calls in arrear), preference dividend, interim and final dividend, transfer to reserves, unclaimed dividend, closing surplus.

Step 1: Paid-up equity capital

Paid-up capital = 20,00,000 - 20,000 = **19,80,000** (dividend is paid on paid-up capital)

Step 2: Appropriation account

Particulars	Working	Rs.
Profit after tax		6,00,000
Add: Opening balance		1,00,000
Profit available for appropriation		**7,00,000**
Less: Transfer to General Reserve	10% of 6,00,000	(60,000)
Less: Preference dividend	8% of 5,00,000	(40,000)
Less: Interim dividend	5% of 19,80,000	(99,000)
Less: Proposed final dividend	10% of 19,80,000	(1,98,000)
Balance carried forward (surplus)		**3,03,000**

Step 3: Journal entries

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Interim Dividend A/c                          Dr     99,000
      To Bank A/c                                             99,000
Preference Dividend A/c                       Dr     40,000
      To Bank A/c                                             40,000
Statement of P&L A/c                          Dr     60,000
      To General Reserve A/c                                  60,000
Statement of P&L A/c                          Dr   1,39,000
      To Interim Dividend A/c                                 99,000
      To Preference Dividend A/c                              40,000
Statement of P&L A/c                          Dr   1,98,000
      To Proposed Dividend A/c                              1,98,000
Proposed Dividend A/c                         Dr   1,98,000            (after AGM approval)
      To Dividend Payable A/c                               1,98,000
Dividend Payable A/c                          Dr   1,90,000
      To Bank A/c                                           1,90,000  (paid within 30 days)
Dividend Payable A/c                          Dr      8,000            (not claimed)
      To Unpaid Dividend A/c                                  8,000
Unpaid Dividend Bank A/c                      Dr      8,000            (separate bank account)
      To Bank A/c                                             8,000
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Under AS-4, proposed dividend is not a liability until it is declared by the shareholders; many textbooks still show it as a provision. Unclaimed dividend goes to the IEPF after 7 years.

Important Points

- Watch out for calls in arrear: dividend is calculated on paid-up capital, not called-up capital.
- Preference dividend is paid before equity dividend.

Unit 3 - Question 1: Amalgamation (purchase consideration and both books)

Q1. B Ltd takes over P Ltd on 1 April. The Balance Sheet of P Ltd is given below. Terms: (i) B Ltd takes over all assets except cash, and all liabilities, at book values. Creditors of P Ltd include Rs. 10,000 due to B Ltd. Stock of P Ltd includes goods bought from B Ltd at invoice price Rs. 20,000 (B Ltd sells at cost plus 25%). (ii) Preference shareholders receive 10% preference shares of B Ltd of Rs. 100 each at par, for the same amount. (iii) Equity shareholders receive 3 equity shares of B Ltd (Rs. 10 each, issued at Rs. 12) for every 5 shares held, plus cash so that they get full intrinsic value; the intrinsic value of a B Ltd share is Rs. 20. (iv) B Ltd pays P Ltd's liquidation expenses of Rs. 5,000. (v) Investment allowance reserve is a statutory reserve to be maintained. Required: (a) purchase consideration; (b) entries in P Ltd's books; (c) entries in B Ltd's books; (d) is it a merger or a purchase; (e) merger-method entries if the terms were different (see part e).

Liabilities	Rs.	Assets	Rs.
Equity share capital (20,000 shares of Rs. 10)	2,00,000	Fixed assets	2,50,000
10% Preference share capital	1,00,000	Stock	80,000
General reserve	40,000	Debtors	70,000
Investment allowance reserve	20,000	Cash	20,000
Profit and loss A/c (credit)	30,000	Preliminary expenses	30,000
Creditors	60,000		
Total	**4,50,000**	**Total**	**4,50,000**

This question covers

• Intrinsic value, cash per share, purchase consideration, the 7 old-company steps, mutual owings, unrealised profit, statutory reserve, expenses, goodwill or capital reserve, merger vs purchase.

(a) Purchase consideration

Intrinsic value of P Ltd share = $\frac{4,20,000 - 60,000 - 1,00,000}{20,000} = \frac{2,60,000}{20,000}$ = **Rs. 13**

(assets excluding fictitious preliminary expenses: 2,50,000 + 80,000 + 70,000 + 20,000 = 4,20,000)

Cash per share = $\frac{5 \times 13 - 3 \times 20}{5} = \frac{65 - 60}{5}$ = **Rs. 1**

Equity shares to issue = 20,000 × $\frac{3}{5}$ = **12,000 shares**

Payment to	Payment in	Working	Rs.
Equity shareholders	Equity shares of B Ltd	12,000 x 12 (issue price)	1,44,000
Equity shareholders	Cash	20,000 shares x Rs. 1	20,000
Preference shareholders	10% preference shares	1,000 x 100	1,00,000
Purchase consideration			**2,64,000**

(b) Entries in P Ltd's books (7 steps)

Step 1: Transfer at book value				
Equity Share Capital A/c	Dr	2,00,000		
General Reserve A/c	Dr	40,000		
Investment Allowance Reserve A/c	Dr	20,000		
P&L A/c	Dr	30,000		
To Equity Shareholders A/c			2,90,000	
Equity Shareholders A/c	Dr	30,000		
To Preliminary Expenses A/c			30,000	
10% Preference Share Capital A/c	Dr	1,00,000		
To Preference Shareholders A/c			1,00,000	
Realisation A/c	Dr	4,00,000		
To Fixed Assets A/c			2,50,000	
To Stock A/c			80,000	
To Debtors A/c			70,000	
Creditors A/c	Dr	60,000		
To Realisation A/c			60,000	
Step 2: Raise PC				
B Ltd A/c	Dr	2,64,000		
To Realisation A/c			2,64,000	
Step 3: Realise PC				
Cash A/c	Dr	20,000		
Equity Shares in B Ltd A/c	Dr	1,44,000		
10% Preference Shares in B Ltd A/c	Dr	1,00,000		
To B Ltd A/c			2,64,000	
Step 4: Distribute PC				
Equity Shareholders A/c	Dr	1,64,000		
Preference Shareholders A/c	Dr	1,00,000		
To Cash A/c			20,000	
To Equity Shares in B Ltd A/c			1,44,000	
To 10% Preference Shares in B Ltd A/c			1,00,000	
Step 5: Realisation expenses				
Realisation A/c	Dr	5,000		
To Cash A/c			5,000	
Cash A/c	Dr	5,000		
To Realisation A/c			5,000	(reimbursed by B Ltd)
Step 7: Close the accounts				
Equity Shareholders A/c	Dr	76,000		(loss on realisation)
To Realisation A/c			76,000	
Equity Shareholders A/c	Dr	20,000		(cash balance paid)
To Cash A/c			20,000	

Realisation A/c: Dr 4,00,000 + 5,000 = 4,05,000; Cr 60,000 + 2,64,000 + 5,000 = 3,29,000; loss 76,000. ESH A/c: Cr 2,60,000 = Dr 1,64,000 + 76,000 + 20,000.

(c) Entries in B Ltd's books (purchase method)

Business Purchase A/c	Dr	2,64,000		
To Liquidators of P Ltd A/c			2,64,000	
Fixed Assets A/c	Dr	2,50,000		
Stock A/c	Dr	80,000		
Debtors A/c	Dr	70,000		
To Creditors A/c			60,000	
To Business Purchase A/c			2,64,000	
To Capital Reserve A/c			76,000	(balancing figure)
Liquidators of P Ltd A/c	Dr	2,64,000		
To Equity Share Capital A/c			1,20,000	(12,000 x 10)
To Securities Premium A/c			24,000	(12,000 x 2)
To 10% Preference Share Capital A/c			1,00,000	
To Bank A/c			20,000	
Trade Payables A/c	Dr	10,000		(contra item)
To Trade Receivables A/c			10,000	
Goodwill A/c	Dr	5,000		(expenses reimbursed)
To Bank A/c			5,000	
Amalgamation Adjustment Reserve A/c	Dr	20,000		
To Investment Allowance Reserve A/c			20,000	
Capital Reserve A/c	Dr	4,000		(unrealised profit)
To Stock A/c			4,000	

Unrealised profit = $20{,}000 \times \frac{25}{125} = 4{,}000$

(d) Merger or purchase?

Purchase. Cash (the cash balance of P Ltd) is not taken over, so condition 1 fails; and equity shareholders also get cash (Rs. 20,000), so condition 3 fails. Even one failed condition makes it a purchase.

(e) Merger method: if all five conditions were met

Suppose B Ltd took over **all** assets (including cash) and liabilities at book values and paid only shares at par: 20,000 equity shares of Rs. 10 and 1,000 10% preference shares of Rs. 100 (PC Rs. 3,00,000). Reserves are carried forward; the preliminary expenses are not carried, so the balancing figure is a debit to General Reserve.

Business Merger A/c	Dr	3,00,000		
To Liquidators of P Ltd A/c			3,00,000	
Fixed Assets A/c	Dr	2,50,000		
Stock A/c	Dr	80,000		
Debtors A/c	Dr	70,000		
Cash A/c	Dr	20,000		
General Reserve A/c	Dr	30,000		(balancing figure)
To Creditors A/c			60,000	
To General Reserve A/c			40,000	
To Investment Allowance Reserve A/c			20,000	
To P&L A/c			30,000	
To Business Merger A/c			3,00,000	
Liquidators of P Ltd A/c	Dr	3,00,000		
To Equity Share Capital A/c			2,00,000	
To 10% Preference Share Capital A/c			1,00,000	

Important Points

- Solve in this order: first find PC (who gets what), then the old company's 7 steps, then the new company's 3 main entries plus the extras.
- Do the extras one by one: contra items, expenses, statutory reserve and unrealised profit.

Unit 3 - Question 2: Internal reconstruction

Q2. The Balance Sheet of K Ltd: equity share capital 2,00,000 (20,000 shares of Rs. 10, fully paid); 10% preference share capital 1,00,000; creditors 1,30,000. Assets: goodwill 30,000; land 50,000; plant 90,000; stock 80,000; debtors 60,000; preliminary expenses 10,000; P&L (debit) 1,00,000; cash 10,000. A scheme is approved by the Court: (a) equity shares of Rs. 10 are changed to Rs. 5 each, fully paid; (b) 4,000 of these new shares are surrendered and cancelled; (c) preference share capital is reduced by 30,000; (d) creditors forgo Rs. 30,000; (e) land is revalued upwards by Rs. 30,000; (f) goodwill, preliminary expenses and the P&L debit balance are written off; (g) plant is reduced by Rs. 40,000 and stock by Rs. 10,000; (h) an unrecorded liability of Rs. 8,000 is paid, and reconstruction expenses of Rs. 2,000 are paid; (i) the balance of Capital Reduction A/c is transferred to Capital Reserve. Pass entries and prepare the new Balance Sheet.

This question covers

- Reduction of face value, surrender and cancellation of shares, reduction of preference capital, creditors forgoing, upward revaluation, write-offs, unrecorded liability, expenses and the transfer to Capital Reserve.

Step 1: Journal entries

```
Equity Share Capital (Rs. 10) A/c                  Dr   2,00,000
      To Equity Share Capital (Rs. 5) A/c                          1,00,000
      To Capital Reduction A/c                                     1,00,000
Equity Share Capital (Rs. 5) A/c                   Dr     20,000                (4,000 shares x 5)
      To Share Surrender A/c                                         20,000
Share Surrender A/c                                Dr     20,000
      To Capital Reduction A/c                                       20,000
10% Preference Share Capital A/c                   Dr     30,000
      To Capital Reduction A/c                                       30,000
Creditors A/c                                      Dr     30,000
      To Capital Reduction A/c                                       30,000
Land A/c                                           Dr     30,000
      To Capital Reduction A/c                                       30,000
Capital Reduction A/c                              Dr   2,00,000
      To Goodwill A/c                                                30,000
      To Preliminary Expenses A/c                                    10,000
      To P&L A/c (debit balance)                                   1,00,000
      To Plant A/c                                                   40,000
      To Stock A/c                                                   10,000
      To Bank A/c                                                    10,000   (8,000 + 2,000)
Capital Reduction A/c                              Dr     10,000
      To Capital Reserve A/c                                         10,000
```

Step 2: Capital Reduction A/c at a glance

Credit side (gains)	Rs.	Debit side (losses)	Rs.
Equity face value reduction	1,00,000	Goodwill	30,000
Surrendered shares cancelled	20,000	Preliminary expenses	10,000
Preference reduction	30,000	P&L debit balance	1,00,000
Creditors forgo	30,000	Plant	40,000
Land revalued	30,000	Stock	10,000
		Unrecorded liability and expenses	10,000
		Balance to Capital Reserve	10,000
Total	**2,10,000**	**Total**	**2,10,000**

Step 3: New Balance Sheet

Particulars	Before	After
Equity share capital (after: 16,000 shares of Rs. 5)	2,00,000	80,000
10% Preference share capital	1,00,000	70,000
Capital reserve	-	10,000
Creditors	1,30,000	1,00,000
Total liabilities	**4,30,000**	**2,60,000**
Goodwill	30,000	-
Land	50,000	80,000
Plant	90,000	50,000
Stock	80,000	70,000
Debtors	60,000	60,000
Preliminary expenses	10,000	-
P&L (debit)	1,00,000	-
Cash	10,000	-
Total assets	**4,30,000**	**2,60,000**

Important Points
• Gains are credited to Capital Reduction A/c and losses are debited. The final balance goes to Capital Reserve.
• Prepare the Capital Reduction A/c first, then write the new Balance Sheet.

Unit 3 - Question 3: Liquidation of a company

Q3. R Ltd is in liquidation. Assets (book value / realisable value): land and building Rs. 2,50,000 / Rs. 1,20,000 (mortgaged to a creditor for Rs. 1,50,000); plant Rs. 1,80,000 / Rs. 1,10,000; stock Rs. 1,20,000 / Rs. 1,00,000; debtors Rs. 90,000 / Rs. 70,000; cash at bank Rs. 40,000 / Rs. 40,000. Liabilities: preferential creditors Rs. 25,000; 10% debentures with floating charge Rs. 60,000; unsecured creditors Rs. 1,20,000. Share capital: 8% preference shares Rs. 40,000 and 20,000 equity shares of Rs. 10. Liquidation expenses Rs. 12,500. Liquidator's remuneration: 2% on assets realised (excluding cash) and 3% on payments to unsecured creditors. Prepare the Liquidator's Final Statement of Account.

This question covers
• Book and realisable values, secured creditor shortfall, order of payment, commission on two bases, and payment to preference and then equity shareholders.

Step by step: the series of payments

Step	Payment	Working	Paid (Rs.)	Cash left (Rs.)
0	Total cash (realisable values)	40,000 + 1,20,000 + 1,10,000 + 1,00,000 + 70,000	-	4,40,000
1	Secured creditor (mortgage)	Land and building realises only 1,20,000; shortfall 30,000 becomes unsecured	1,20,000	3,20,000
2	Liquidation expenses	As given	12,500	3,07,500
3	Remuneration on assets	2% of 4,00,000 (assets realised except cash)	8,000	2,99,500
4	Preferential creditors	As given	25,000	2,74,500
5	Debentures (floating charge)	As given	60,000	2,14,500
6	Unsecured creditors + 3% commission	(1,20,000 + 30,000 shortfall) = 1,50,000; commission 3% of 1,50,000 = 4,500	1,54,500	60,000
7	Preference shareholders	Paid in full	40,000	20,000
8	Equity shareholders	Balance 20,000 for 20,000 shares	20,000	0

Funds were enough for all creditors, so the commission is simply 3% of what is paid. (If funds were short, multiply the cash by 100 and divide by 103.) Equity shareholders get Re 1 per share.

Liquidator's Final Statement of Account

Receipts	Book value	Realisable value	Payments	Rs.
Cash at bank	40,000	40,000	Mortgage creditor (from land and building)	1,20,000
Land and building	2,50,000	1,20,000	Liquidation expenses	12,500
Plant	1,80,000	1,10,000	Liquidator's remuneration (8,000 + 4,500)	12,500
Stock	1,20,000	1,00,000	Preferential creditors	25,000
Debtors	90,000	70,000	Debentures (floating charge)	60,000
			Unsecured creditors (1,20,000 + 30,000)	1,50,000
			Preference shareholders	40,000
			Equity shareholders (Re 1 per share)	20,000
Total	**6,80,000**	**4,40,000**	**Total**	**4,40,000**

Only the realisable value column balances with the payments. Loss on realisation = 6,80,000 - 4,40,000 = 2,40,000.

Important Points
• Keep one running cash column and subtract each payment in order. When cash reaches zero, stop.
• A secured creditor is paid only from its own asset; any shortfall joins the unsecured creditors.

Unit 4 - Question 1: Consolidated Balance Sheet

Q1. Balance Sheets of H Ltd and S Ltd as on 31 March are given. H Ltd bought 16,000 equity shares of S Ltd on 1 April for Rs. 2,60,000. Additional information: (a) on 1 April, S Ltd had general reserve Rs. 30,000 and P&L Rs. 40,000; the land of S Ltd (book value Rs. 1,00,000) was worth Rs. 1,30,000; (b) during the year S Ltd paid a dividend of Rs. 20,000 out of its profits earned before 1 April, and H Ltd credited its share to its own P&L; (c) S Ltd owes H Ltd Rs. 15,000 and S Ltd's bills payable of Rs. 10,000 are held by H Ltd; (d) S Ltd's stock includes goods bought from H Ltd at Rs. 30,000 (H Ltd sells at cost plus 25%); H Ltd's stock includes goods bought from S Ltd at Rs. 20,000 (S Ltd earns 20% on selling price); (e) the preference shares of S Ltd are held by outsiders. Prepare the Consolidated Balance Sheet.

Liabilities	H Ltd	S Ltd
Equity share capital	6,00,000	2,00,000
10% Preference share capital	-	1,00,000
General reserve	1,00,000	40,000
P&L A/c	1,56,000	50,000
Creditors	74,000	70,000
Bills payable	-	10,000
Total	**9,30,000**	**4,70,000**
Land and building	2,00,000	1,00,000
Plant	1,50,000	1,10,000
Investment in S Ltd (16,000 shares)	2,60,000	-
Stock	1,30,000	1,00,000
Debtors	1,20,000	90,000
Bills receivable	10,000	-
Cash	60,000	70,000
Total	**9,30,000**	**4,70,000**

This question covers

• Capital and revenue profit, revaluation, pre-acquisition dividend, cost of control, mutual owings, unrealised profit (downstream and upstream) and outside preference shares.

Step 1: Holding percentage

H Ltd holds $\frac{16,000}{20,000}$ = 80%; minority = 20%

Step 2: Capital profit and revenue profit of S Ltd

Working	Rs.
Capital profit at 1 April: general reserve 30,000 + P&L 40,000	70,000
Less: dividend paid out of these profits	(20,000)
Add: revaluation of land (1,30,000 - 1,00,000)	30,000
Capital profit (for cost of control)	**80,000**
Revenue profit: closing reserves (40,000 + 50,000) - capital profit after dividend 50,000	40,000
Less: unrealised profit in H Ltd's stock (20% of 20,000), upstream	(4,000)
Revenue profit after adjustment	**36,000**

Step 3: Cost of control

Cost of investment = 2,60,000 - 16,000 (80% of 20,000 dividend) = **2,44,000**

Cost of control = 2,44,000 - 80% × (2,00,000 + 80,000) = 2,44,000 - 2,24,000 = **20,000 goodwill**

Step 4: Minority interest

Equity share = 20% × (2,00,000 + 80,000 + 36,000) = 20% × 3,16,000 = **63,200**

Add: outside preference shares 1,00,000. **Minority interest = 1,63,200.**

Step 5: Consolidated P&L; and unrealised profit

Unrealised profit in S Ltd's stock (downstream) = $30{,}000 \times \frac{25}{125}$ = 6,000 (reduces H Ltd's profit fully)

H Ltd's share of S Ltd's revenue profit = 80% × 36,000 = 28,800

Consolidated P&L	Rs.
H Ltd's P&L	1,56,000
Less: pre-acquisition dividend wrongly credited	(16,000)
Less: unrealised profit in S Ltd's stock	(6,000)
Add: share in S Ltd's revenue profit	28,800
Consolidated P&L	**1,62,800**

Step 6: Consolidated Balance Sheet

Liabilities	Rs.	Assets	Rs.
Equity share capital (H Ltd)	6,00,000	Goodwill	20,000
General reserve (H Ltd)	1,00,000	Land and building (2,00,000 + 1,30,000)	3,30,000
P&L A/c	1,62,800	Plant (1,50,000 + 1,10,000)	2,60,000
Minority interest	1,63,200	Stock (1,30,000 + 1,00,000 - 6,000 - 4,000)	2,20,000
Creditors (74,000 + 70,000 - 15,000)	1,29,000	Debtors (1,20,000 - 15,000 + 90,000)	1,95,000
		Cash (60,000 + 70,000)	1,30,000
Total	**11,55,000**	**Total**	**11,55,000**

Bills payable of S Ltd and bills receivable of H Ltd (Rs. 10,000 each) cancel out. Investment in S Ltd is not shown.

Important Points

- Start with the profits: split S Ltd's profit into capital and revenue, then the rest follows.
- Downstream (H sold to S): cut the whole profit from H. Upstream (S sold to H): cut it from S and share it with the minority.

Unit 4 - Question 2: Statement of Affairs and Deficiency / Surplus Account

Q2. W Ltd goes into liquidation. Prepare the Statement of Affairs and the Deficiency / Surplus Account. Liabilities: equity share capital 4,00,000; general reserve 50,000; mortgage loan 2,40,000 (secured on land and building); 10% debentures 60,000 (floating charge); wages outstanding 20,000 and taxes payable 15,000 (preferential); creditors 1,10,000; bank overdraft 20,000 (unsecured).

Assets	Book value	Estimated realisable value
Land and building	3,00,000	2,00,000
Plant	2,00,000	1,20,000
Stock	1,50,000	1,20,000
Debtors	1,00,000	80,000
Cash	10,000	10,000
Goodwill	50,000	Nil
Preliminary expenses	10,000	Nil
P&L A/c (debit balance)	95,000	Nil
Total	**9,15,000**	**5,30,000**

This question covers

- Secured creditor shortfall, preferential creditors, floating charge debentures, unsecured creditors, a surplus case and the Deficiency / Surplus Account.

Step 1: Statement of Affairs

Particulars	Rs.
Land and building (pledged) ERV	2,00,000
Less: Mortgage loan	(2,40,000)
Shortfall (goes to unsecured creditors)	**(40,000)**
Free assets: plant 1,20,000 + stock 1,20,000 + debtors 80,000 + cash 10,000	3,30,000
Less: Preferential creditors (wages 20,000 + taxes 15,000)	(35,000)
Net free assets	2,95,000
Less: Debentures with floating charge	(60,000)
Available for unsecured creditors	2,35,000
Less: Unsecured creditors (creditors 1,10,000 + overdraft 20,000 + shortfall 40,000)	(1,70,000)
Surplus as regards members	**65,000**

Step 2: Deficiency / Surplus Account

Dr	Rs.	Cr	Rs.
To P&L A/c (debit balance)	95,000	By Equity share capital	4,00,000
To Goodwill and preliminary expenses (50,000 + 10,000)	60,000	By General reserve	50,000
To Loss on realisation: land and building 1,00,000, plant 80,000, stock 30,000, debtors 20,000	2,30,000		
To Surplus (balancing figure)	65,000		
Total	**4,50,000**	**Total**	**4,50,000**

Check: the surplus of Rs. 65,000 is the same in the Statement of Affairs and in the Deficiency / Surplus Account.

Important Points
- Show assets at their realisable value, then pay in this order: secured, preferential, floating charge, unsecured.
- If anything is left, it is a surplus; if not, it is a deficiency.

Unit 4 - Question 3: Receiver's Receipt and Payment Account

Q3. A Ltd issued Rs. 5,00,000 10% debentures secured by a floating charge on all its assets. A Receiver was appointed. Interest for 6 months, Rs. 25,000, is due. The Receiver realised: land and building Rs. 2,00,000; plant Rs. 80,000; stock Rs. 1,20,000; debtors Rs. 1,50,000. Receiver's expenses Rs. 4,000. Receiver's remuneration: 2% on gross realisations and 1% on the amount paid to debenture holders. Preferential creditors (wages) Rs. 30,000. Prepare the Receiver's Receipt and Payment Account.

This question covers
- Floating charge (preferential creditors first), remuneration on two bases, interest before principal and a shortfall to debenture holders.

Step by step

Step	Payment	Working	Paid (Rs.)	Cash left (Rs.)
0	Gross realisations	2,00,000 + 80,000 + 1,20,000 + 1,50,000	-	5,50,000
1	Receiver's expenses	As given	4,000	5,46,000
2	Remuneration on realisations	2% of 5,50,000	11,000	5,35,000
3	Preferential creditors	Paid before floating charge debentures	30,000	5,05,000
4	Debenture holders + 1% commission	$5,05,000 \times \frac{100}{101}$ = 5,00,000 to debenture holders; commission 5,000	5,05,000	0

Debenture holders get Rs. 5,00,000: interest first (25,000), then principal Rs. 4,75,000 (shortfall Rs. 25,000). Commission = 1% of 5,00,000 = 5,000.

Receipts	Rs.	Payments	Rs.
To Land and building	2,00,000	By Receiver's expenses	4,000
To Plant	80,000	By Remuneration (11,000 + 5,000)	16,000
To Stock	1,20,000	By Preferential creditors (wages)	30,000
To Debtors	1,50,000	By Debenture interest	25,000
		By Debenture holders (principal)	4,75,000
		By Balance paid to company	Nil
Total	**5,50,000**	**Total**	**5,50,000**

Important Points

• Follow this order: expenses, remuneration, preferential creditors, then debenture holders (interest first).

• Commission on payments to debenture holders: multiply the cash by 100 and divide by 101, because the commission is paid out of the same cash.